Dr. Manmohan Singh at Madras

PRESIDENTIAL ADDRESS
BY
Mr.M.L.TANDON

Honourable Finance Minister, Dr. Manmohan Singh, Dr. Sanjeev Reddy, Director General of Foreign Trade, Mr. Gill, Joint Secretary of Ministry of Commerce, Friends, Associates, Ladies and Gentlemen;

It is indeed a great day for export processing zones that Honourable Minister of Finance, Dr. Manmohan Singh, has taken the time to inaugurate The Federation and to understand the problems faced by the zones. I am sure that all of your agree that Dr. Singh's Economic Genius and superman like efforts have drastically changed the fortunes of a country against all odds. We all know the problems of bringing about changes in a big nation like ours; but in spite of all the immense difficulties Dr. Singh has shown us how the fortunes of a nation can be reserved so very quickly.

Three years ago he took over as Finance Minister under chaotic economic condition and as well as precarious balance of payment position. We as exporters felt it because we had lost total credibility with the International Market. We were unable to open LC's with the foreign banks and the Indian Bank LC's were not looked upon very favourably from the International Community. That was the condition we were in. I think you all know what is today.

We are very happy that the balance of payment has changed drastically which looked like a hopeless task. We all know where inflation is. I think one could never imagine that we will have an inflation of 6 to 7% in a country like India when we have seen such high rate of inflation. We are proud to be Indian Today in the Interntional Market and we are able to tell them that we can do it and we have done it.

Much has been done to liberalise the country's trade in General to make it globally competitive and to inaugurate a era of true International Trade. However free trade zones which were once forerunner of the liberalisation policy indicating our intentions of participating in the world trade and global competition have over the past few years lost their lusture; particularly, after the Government has announced lucrative and attractive schemes such as Advance Licensing, Electronic Technology Hardware Parks, Export Promotion Capital Good Scheme and the Newest one is the Maruthi Scheme. The liberalisation process has been seen by all, but we are still slow as far liberalisation of free trade zones are concerned.

Ample time is spent in understanding the procedures and implimenting them. We need, procedures which are clear, which are precise and we can move forward with our time and money and management to generate exports rather than going back and forth with procedures which has been the difficulty with the free trade zones.

In the Interntional Market, the customer is supreme, whereas we in the zones feel procedures are supreme. Customer is always right in the International market, but here procedures are always right. We are unable to commit with great certainly to our customers our performance because there are ambiguities in the procedures, their uncertainities which makes us helpless at times to give the kind of service which is required in the International Market.

Things are not all that bad. We have had good experience in dealing with Government in many times. I narrate you a issue I had some years back. We were signing a collaboration with Hitachi and they said how long it will take to get the permission. I said 45 days. They said no way. I said I will show it you, we wil do it in 45 days. So after 45 days I go back I tell them that here is my permission. Sorry we don't have the permission from Hitachi's Board yet. They tell me it takes 90 days to get the permission. We have come long ways as a Government body to get permission in 45 days that is what we are supposed to get in the Board in the free trade zone is really a remarkable thing. In fact, now, Dr. Singh has done away with all the procedures anyway. The other pleasant surprise I had the other day. We had a problem with the Director General of Foreign Trade. We said we need this registration for our company. He said where is the application. I said in the mail. He said well by Friday afternoon you will have the registration. We were not ready. But they were ahead of us. These are the things which are happening. I want to share the pleasant things that are happening in the Ministry, in the Government, in the set up we have right now.

Sir, we badly need exports and there is Global competition. We cannot afford not to be a part of it. We cannot afford to lose. But we certainly will not win if the total freedom is not granted to us. Sir, I request you to free the free trade zones, to enable us to dedicate our energies and chanalise our full potential. The risk we take in liberalising the zones is far less than what you did when you converted the rupee fully. In today's ERA of instant communication, we still have to move our files from one place to another place to get clearance on scrap, to get permission to import capital goods; I think we can do away with it, have trust on us, we will show you that we are together, we are on the same side of the net, what is good for us is good for the Government too.

Sir, we assure you that if some of the issues which are basically volced on to fiscal policies i.e. Taxation, Financing, if that is taken care of and we are put on par with the rest of the World and some procedural matters where are able to react within the time frame to meet the requirements of our customers, we will give you Exports. We have confidence that since we have drawn your attention, you will spare no effort to give us the maximum support to increase our exports. We are also confident, that we not only have a bright future but really a great one leading us to be the leaders in world trade.

Thank you.